

GnuCash Evaluation Report

Business Function: Accounting

- **Overview** - GnuCash is an open-source accounting software designed for small businesses and individuals. It offers a full-featured double-entry bookkeeping system, providing tools to manage income, expenses, assets, and liabilities. The software is free to use, available on Windows, macOS, and Linux, and supported by a long-standing community of users and contributors.
- **Why Gnu Cash?** – We selected GnuCash for the accounting function because it is lightweight, mature, and focused specifically on bookkeeping, without the unnecessary features. GnuCash is completely free while still covering the essentials like invoicing, reporting, and multi-currency support. Compared to other OSS accounting tools, it's simpler to navigate and better documented.
- **Open-Source Alternatives**

<u>Software</u>	<u>Notes</u>
Akaunting	Modern UI, but web based
ERPNext	More powerful, but very complex

- **Key Features of Gnu Cash**
 - Double Entry Accounting - Each transaction must debit one account and credit another, reducing accounting errors
 - Scheduled Transactions - Recurring bills or income can be automated and tracked
 - Multi-Currency Support - Useful for businesses dealing internationally

- Customer and Vendor Tracking - Invoice creation, payment tracking, and customer profiles
- Financial Reports - Built-in tools for profit & loss, balance sheets, and cash flow
- Importing/Exporting – Compatible with multiple file formats, including CSV

○ Limitations

- Outdated Interface – The UI is very dated compared to other software's
- Learning Curve - Not beginner-friendly without a basic understanding of accounting principles
- No Cloud Version - Requires manual backup or third-party sync services
- Limited Integrations - Lacks native connections with banking APIs or payroll systems

GnuCash Manual

○ Step 1 – Installing GnuCash

- Go to <https://www.gnucash.org/download.phtml> to install. It is compatible on Windows, Mac, and Linux.

○ Step 2 – Creating Your First Company File

- Open GnuCash
- Click **File > New File**
- Follow the setup, which will allow you to name your file, select the form of currency you'd like, and pick from a list of preset charts (ex: Small Business)

○ Step 3 – Record a Transaction

- Double-click on the **Account** tab

- Click inside a blank row to start a new transaction
- Fill in the data, description, and amount
- Go inside the **Transfer** column, and then select the opposite account

The screenshot shows a software window titled "gcashdata_3 - Checking". It has a menu bar (File, Edit, View, Transaction, Actions, Business, Reports, Tools, Windows, Help) and a toolbar with icons for Save, Close, Duplicate, Delete, Enter, Cancel, Blank, Split, Jump, and Schedule. Below the toolbar are tabs for Accounts, Checking (selected), and Salary. The main area is a table with the following data:

Date	Num	Description	Transfer	R	Deposit	Withdrawal	Balance
01/03/06		Opening Balance	Equity:Opening Balance	n	1,000.00		1,000.00
05/03/06	101	Grocery Store	Expenses:Groceries	n		45.21	954.79
14/03/06		Employers R Us	-- Split Transaction --	n	670.00		1,624.79
28/03/06		Internet Subscription	Expenses:Internet	n		20.00	1,604.79
28/03/06		<i>Num Description</i>	<i>Transfer</i>	n	<i>Deposit</i>	<i>Withdrawal</i>	<i>Balance</i>

At the bottom of the window, a status bar displays: Present:USD 1,604.79 Future:USD 1,604.79 Cleared:USD 0.00 Reconciled:USD 0.00 Projected Minimum:USD 1,604.79. The date "Tuesday 28 March 2006" is also shown.

○ Step 4 – Run a Report

- Go to reports in the menu bar
- Select **Income Statement** or **Balance Sheet**
- Click your desired data range, then click **Generate Report**

